

UK—Significant Upside Surprise in February Monthly GDP Figures Implies Stronger Q1 but Outlook Remains Weaker

BOTTOM LINE: Monthly GDP rose by 0.5%mom in February, notably above our forecast for a 0.2% expansion and consensus expectations for a 0.1% increase, with the figures showing strong growth across the services, production and construction sectors. The January figures were also revised up. Although we expect a weaker print in March as higher energy prices begin to weigh on growth momentum, today's data nonetheless imply a substantial upgrade to our Q1 growth forecast to +0.57%qoq (from +0.22%). Looking further ahead, we continue to expect a slowdown in the sequential growth pace through the rest of the year given the impact of the conflict in the Middle East, but the increase in our Q1 forecast mechanically raises our 2026 Q4/Q4 growth estimate to +1.0% (from +0.6%). While today's numbers point to notably stronger growth than the BoE had expected in the first quarter, the impact on monetary policy is likely to be mitigated by the significant change in the growth outlook since February and the fact that the Bank tends to focus on underlying growth measures given the volatility in the headline figures.

James Moberly
+44(20)7774-9444 |
james.r.moberly@gs.com
Goldman Sachs International

KEY NUMBERS:

GDP (February): +0.5%; GS: +0.2%; Consensus: +0.1%; Previous (January): +0.1% (revised up from 0.0%); all %mom (non-annualised)

MAIN POINTS:

1. Monthly GDP rose by 0.5%mom in February, notably above our forecast for a 0.2% expansion and consensus expectations for a 0.1% increase. The January monthly growth figure was also revised up to show growth of 0.1%, whereas the initial estimate had shown unchanged output.
2. Output growth was firm across all major sectors with activity rising by 0.5%mom in services, 0.5% in production, and 1.0% in construction. Within the service sector, the increase in output was driven by admin and support services, the wholesale trade, information and communications, and professional, scientific and technical activities. In production, growth was driven primarily by mining and quarrying and the electricity and gas industry, partially offset by a slight decline in manufacturing output. The increase in construction sector output largely resulted from a notable rise in new private housing work.
3. We expect the March print to be weaker given the slowdown in momentum signalled by the PMIs and the tendency for payback after stronger monthly GDP prints. Nonetheless, the sizeable upside surprise in today's numbers and the upward revision to the January figures implies significantly stronger growth in Q1 than we had previously anticipated. We therefore raise our Q1 GDP forecast growth to

+0.57%qoq (from +0.22%).

4. Looking ahead, we continue to expect a slowdown in the sequential pace of growth in the rest of 2026 given the impact of rising oil and gas prices, with previous studies suggesting that each 10% increase in energy prices lowers the level of output by 0.1–0.2% on average. Nonetheless, the increase in our Q1 forecast mechanically raises our 2026 Q4/Q4 growth estimate to +1.0% (from +0.6%).

5. While today's numbers point to notably stronger growth in Q1 than the BoE's estimate of +0.3%, we think that the impact of the upside surprise on the monetary policy outlook is mitigated by three factors. First, the outlook has changed significantly since February given the increase in energy prices, and the early data are consistent with a slowdown in growth momentum. Second, the BoE has tended to focus on underlying GDP growth measures given the volatility in the headline numbers. Third, although a recent review by the Office for Statistics Regulation did not find statistical evidence of residual seasonality in the GDP figures, the last two years have shown a pattern of a strong Q1 followed by weaker data for the rest of the year.

James Moberly

European Economics Team

Sven Jari Stehn

+44(20)7774-8061
jari.stehn@gs.com
Goldman Sachs International

Filippo Taddei

+44(20)7774-5458
filippo.taddei@gs.com
Goldman Sachs International

Alexandre Stott

+33(1)4212-1108
alexandre.stott@gs.com
Goldman Sachs Bank Europe SE - Paris Branch

James Moberly

+44(20)7774-9444
james.r.moberly@gs.com
Goldman Sachs International

Niklas Garnadt

+49(69)7532-1537
niklas.garnadt@gs.com
Goldman Sachs Bank Europe SE

Katya Vashkinskaya

+44(20)7774-4833
katya.vashkinskaya@gs.com
Goldman Sachs International

Giovanni Pierdomenico

+44(20)7051-6807
giovanni.pierdomenico@gs.com
Goldman Sachs International

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Contributing Authors: James Moberly Goldman Sachs International.

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